ANSWER KEY & MARKING SCHEME SET A

Economics Chapter 3: **Money and Credit** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** goods are directly exchanged without the use of money	Barter
2	**(c)** Double coincidence of wants	What one desires to sell is exactly what the other wishes to buy
3	**(a)** Reserve Bank of India	RBI
4	**(a)** demand deposits	Demand deposits
5	**(b)** 5 per cent	Provision for withdrawals
6	**(a)** Both A and R are true and R is the correct explanation of A	Source of income
7	**(c)** collateral	Collateral
8	**(d)** 51 per cent	Moneylenders 51%
9	**(d)** 15–20	SHG
10	**(b)** Muhammad Yunus	Grameen Bank of Bangladesh

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	A situation in which what a person desires to sell is exactly what the other wishes to buy; it is an essential feature of the barter system.	2
12	A paper instructing the bank to pay a specific amount from the person's account to the person in whose name the cheque has been issued.	2
13	Interest rate, collateral, documentation requirement and mode of repayment together make up the terms of credit.	2
14	Because it acts as an intermediate in the exchange process; a person holding money can easily exchange it for any commodity or service.	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Money provides the crucial intermediate step; the shoe manufacturer need not find a wheat farmer who wants shoes; he sells shoes for money to any buyer and then buys wheat with the money.	1+1+1
16	They can be withdrawn on demand; payments can be made through cheques against them without cash; they are widely accepted as a means of payment along with currency, so they share essential features of money.	1+1+1
17	Banks accept deposits from people with surplus funds and pay interest; keep about 5 per cent as cash; use the major portion to extend loans to those in need of funds at a higher interest; the difference is their income.	1+1+1
	OR: RBI sees that banks maintain a minimum cash balance, give loans not only to profit-making businesses but also to small cultivators, small scale industries and small borrowers; banks submit periodic information on how much they lend, to whom and at what interest rate.	1+1+1
18	Formal — banks and cooperatives, supervised by RBI, lower interest; informal — moneylenders, traders, employers, relatives and friends, not supervised, higher interest, may use unfair means to recover.	1+1+1
	OR: She took a loan for groundnut cultivation; the crop failed due to pests; she could not repay and the debt grew; a normal crop next year was not enough to cover old loan; she had to sell part of her land.	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Formal sector meets only about half of the rural credit needs; informal loans carry very high interest and do little to raise income; high cost leaves less income and can lead to debt trap; cheap credit is crucial for development; formal credit should also be distributed more equally because richer households get most of it.	5
	OR: Credit meets working capital needs and helps increase earnings (Salim); but in high-risk situations it can push the borrower into a debt trap (Swapna); outcome depends on risk and support in case of loss; cheap and affordable credit helps people grow crops, do business and set up industries and is crucial for development.	5

20	SHGs organise rural poor, particularly women, in groups of 15–20 who pool savings of Rs 25–100; members take small loans from the group at lower interest than moneylenders; after regular savings the group can obtain bank loans; group is responsible for repayment so banks lend without collateral; they also provide a platform to discuss social issues.	5
	OR: Started in the 1970s as a small project; 2018: over 9 million members in about 81,600 villages; almost all borrowers are women from poorest sections; proved that poor women are reliable borrowers and can run small income-generating activities; Muhammad Yunus got the 2006 Nobel Peace Prize.	5

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET B

Economics Chapter 3: **Money and Credit** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** currency and demand deposits	Modern money
2	**(b)** it is authorised by the government of the country	Legal authority
3	**(a)** Rs 500 and Rs 1,000	Demonetisation
4	**(a)** Moneylenders	Moneylenders are informal
5	**(a)** Both A and R are true and R is the correct explanation of A	Formal credit is mostly taken by the rich
6	**(a)** 83 per cent	17% informal
7	**(c)** 12 per cent	Rs 5 lakh, 10 years
8	**(d)** 5 per cent per month	60% per annum
9	**(a)** the members	Members
10	**(d)** Absence of collateral	Collateral

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	An agreement in which the lender supplies the borrower with money, goods or services in return for the promise of future payment.	2
12	A situation in which credit pushes the borrower into a position from which recovery is very painful, e.g. when crop fails and loan cannot be repaid.	2
13	As a guarantee: if the borrower fails to repay, the lender has the right to sell the asset to obtain payment.	2
14	Land titles, house papers, vehicles, livestock, deposits with banks (any two).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Arun — bank loan at 8.5% per annum, repayable in three years; Shyamal — trader at 3% per month and must sell crop to trader; Rama — landowner at 5% per month, repays by working; loans for the landless only from landowners.	1+1+1
16	Informal lenders charge higher interest, there is no supervision and they may use unfair means; borrowers have less income left, debts increase, may not start new enterprise.	1+1+1
17	Lack of collateral and documents; poor repayment capacity; risk of crop failure; no presence of banks in many villages.	1+1+1
	OR: Banks are not everywhere and require documents and collateral; moneylenders know borrowers personally, give loans without collateral and even without repaying earlier loans.	1+1+1
18	Members pool resources; Krishak has 2300 farmers as members; accepts deposits and with these as collateral obtains a large loan from the bank; funds used for loans to members for implements, cultivation, fishery, houses; repayment leads to fresh lending.	1+1+1
	OR: After 2016 people were encouraged to use bank deposits; transfers through internet or mobile, cheques, ATM and credit cards, POS machines and QR codes through UPI; reduce cash and help control corruption.	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Currency (paper notes and coins) is not made of precious metals and has no use of its own but accepted because authorised by the government; RBI issues; legal tender; demand deposits with banks used through cheques; both linked to banking system.	5
	OR: Salim writes a cheque for a specific amount instructing his bank to pay the leather supplier; supplier deposits it in his own account; money transferred from one account to another in a couple of days; no cash payment; shows demand deposits as money.	5

20	Poor lack collateral and documents; banks absent in rural areas; richer households take most formal loans (rich urban 83% formal, poor 54% informal); SHGs, Grameen model, more bank branches, supervision by RBI, cheap credit; formal loans should be distributed more equally.	5
	OR: Positive — Salim uses credit as working capital, completes order and earns profit; credit helps crop production and small businesses; negative — Swapna's crop failure and debt trap; outcome depends on risk and support; terms of credit matter.	5

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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